

advanced enough to justify taking his profit. But when the purchase is made primarily as a safe bond investment, then the limitation on the amount of profit that can conservatively be waited for comes directly into play. For the reasons explained in detail above, the conservative buyer of privileged issues will not ordinarily hold them for more than a 25 to 35% advance. This means that a really successful investment operation in the convertible field does not cover a long period of time. Hence such issues should be bought with the *possibility* of long-term holding in mind but with the *hope* that the potential profit will be realized fairly soon.

The foregoing discussion leads to the statement of another investment rule, *viz.*:

*In the typical case, a convertible bond should not be converted by the investor. It should be either held or sold.*

It is true that the object of the privilege is to bring about such conversion when it seems advantageous. If the price of the bond advances substantially, its current yield will shrink to an unattractive figure, and there is ordinarily a substantial gain in income to be realized through the exchange into stock. Nevertheless when the investor does exchange his bond into the stock, he abandons the priority and the unqualified claim to principal and interest upon which the purchase was originally premised. If after the conversion is made things should go badly, his shares may decline in value far below the original cost of his bond, and he will lose not only his profit but part of his principal as well.

Moreover he is running the risk of transforming himself—generally, as well as in the specific instances—from a bond investor into a stock speculator. It must be recognized that there is something insidious about even a good convertible bond; it can easily prove a costly snare to the unwary. To avoid this danger the investor must cling determinedly to a conservative viewpoint. When the price of his bond has passed out of the investment range, he must sell it; most important of all, he must not consider his judgment impugned if the bond subsequently rises to a much higher level. The market behavior of the issue, once it has entered the speculative range, is no more the investor's affair than the price gyrations of any speculative stock about which he knows nothing.

If the course of action here recommended is followed by investors generally, the conversion of bonds would be brought about only through